

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

IWG INTERNATIONAL WOOD GROUP OF SC AND
HONEST TRADING INTERNATIONAL LLC, *Complainants*

v.

DB SCHENKER USA, INC., *Respondent*.

DOCKET NO. 25-16

Served: July 17, 2026

ORDER OF: Richard AMBROW, *Administrative Law Judge*.

INITIAL DECISION¹

I. INTRODUCTION

Complainants IWG International Wood Group of SC (“IWG”) and Honest Trading International LLC (“Honest Trading”) (collectively “Complainants”) filed a Complaint that the Commission’s Office of the Secretary (“OS”) served on Respondent DB Schenker USA, Inc., on August 7, 2025. In brief, Complainants allege that Respondent violated 46 U.S.C. § 41102(c) because Respondent, a non-vessel operating common carrier (“NVOCC”) and freight forwarder, committed numerous errors in handling Complainants’ cargo, which ultimately resulted in Complainants losing business and incurring other costs.

Respondent answered the Complaint on September 22, 2025, generally denying liability.

For the reasons discussed below, I find that Complainants have not carried their burden of proving the alleged violations of Section 41102(c). Therefore, Complainants’ claim is **DENIED**.

II. BACKGROUND

A. Procedural History

The OS received Complainants’ Complaint on August 5, 2025, and served the Complaint on Respondent. After I was assigned as the Presiding Officer, I issued an Initial Order on August 12, 2025.

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. (46 C.F.R. § 502.227).

I issued a Scheduling Order in this matter on December 2, 2025, requiring the parties to serve initial disclosures as soon as practicable, but no later than December 5, 2025, and for Complainants to file their Opening Brief, proposed findings of fact and appendix no later than March 19, 2026. (*See* Scheduling Order, at 2).

On December 24, 2025, Complainants, who are not represented by a lawyer, but who are appearing through their principals, filed an unsigned document entitled “Complainant’s [sic] Initial Disclosures.” Also on December 24, 2025, Respondent emailed a Motion to Compel Initial Disclosures (“MTC”) to the Office of Administrative Law Judges (“OALJ”), but did not copy OS on the email. Complainants did not respond to the MTC.

Complainants did not file their Opening Brief on March 19, 2026. On March 20, 2026, I issued an Order for Complainants to Show Cause No Later than March 27, 2026 (the “March 20 Order”), requiring Complainants to “explain whether they needed additional time to file their Opening Brief and accompanying documents.” (*See* March 20 Order).

On March 24, 2026, I issued an Order Accepting Complainants’ Opening Brief, and Setting Remaining Schedule (the “March 24 Order”). The March 24 Order noted that the owner of Complainant IWG emailed OALJ on March 20, 2026, stating that he had a family emergency. The March 24 Order also indicated that Complainants filed their Opening Brief (the “March 24 Opening Brief”) and accompanying documents. The March 24 Order accepted the March 24 Opening Brief and accompanying documents.

On April 10, 2026, I issued an Order Rejecting Complainants’ Supplemental Opening Brief, and Requiring Complainants to Refile Opening Brief (the “April 10 Order”). The April 10 Order noted that the March 24 Opening Brief did not comply with the Initial Order because the March 24 Opening Brief contained embedded documents. The April 10 Order stated that OALJ instructed Complainants to file the embedded documents as a PDF in a Supplemental Opening Brief. (April 10 Order, at 1-2). The April 10 Order also noted that Complainants failed to file the Supplemental Opening Brief properly; instead of submitting a PDF of exhibits, Complainants sent several hyperlinks to OALJ via email. (April 10 Order, at 2). The April 10 Order instructed Complainants to resubmit a proper proposed findings of fact and appendix. (April 10 Order, at 2-3). In sum, the April 10 Order instructed Complainants to re-file their March 24 Opening Brief and accompanying documents. (April 10 Order, at 3).

On April 24, 2026, Complainants re-filed their Opening Brief (the “April 24 Opening Brief”), Proposed Findings of Fact, and several appendices. I describe the arguments in the April 24 Opening Brief below, along with the exhibits in the appendices.

On May 22, 2026, Respondent filed Respondent’s Reply Brief (“Response”), along with Respondent’s Response to Complainant’s Amended Proposed Findings of Fact, Respondent’s Proposed Findings of Fact and Respondent’s Appendix. I will describe the arguments in the Response below, along with the facts shown in the exhibits.

On June 5, 2026, Complainants filed Complainants’ Reply Brief (“Reply”), as well as Complainants’ Response to Respondent’s Proposed Findings of Fact (“CRRPFF”). I also describe the arguments set forth in the Reply below.

B. Arguments in Complainants' Complaint and April 24 Opening Brief

Complainants generally allege that Respondent violated Section 41102(c) in the first half of 2025 by means of “[c]onduct that falls below the standard of a reasonably diligent professional, such as misrouting documents or failing to respond to urgent communications” in relation to five shipments. (April 24 Opening Brief, at 4; *see generally* Complaint).

First, Complainants shipped logs from the United States to India under booking number 2154787640 (“‘640”). In relation to booking ‘640, Complainants allege that Respondent delayed communications, issued documents with errors, and lost track of a document, which caused detention fees to accrue. (Complaint, at 5; April 24 Opening Brief, at 3²).

Second, shipments under booking nos. YHU25912863 (“‘863”), YHU25912853 (“‘853”) and YHU25912806 (“‘806”) all involved the transportation of logs from the United States to a company in Thailand. (Complaint, at 2, 4-5). Allegedly, Respondent’s repeated failures resulted in the buyer company cancelling its contract with Complainant Honest Trading. (April 24 Opening Brief, at 3).

Third, regarding booking number RICFE2007400 (“‘400”), which involved the shipment of logs from the United States to India, Respondent allegedly failed to issue draft and final shipping documents in a timely manner, issued erroneous documents, and failed to settle charges for a telex release promptly. (April 24 Opening Brief, at 4).

Although Complainants allege that there were several errors and delays in relation to each shipment (*see generally* Complaint, at 4-6), Complainants focus on eight significant events:

- In relation to booking ‘640, Respondent made only minimal communications with Complainants from February 25, 2025, through April 10, 2025, other than some emails on March 19, 2025, and March 20, 2025. (April 24 Opening Brief, at 3, 7; Complaint, at 5).
- In relation to booking ‘640, Respondent failed to include several documents in a bank courier because Respondent’s staff was unaware of the requirement to send other documents along with a bill of lading. (April 24 Opening Brief, at 3, 7; Complaint, at 5).
- In relation to booking ‘806, Respondent misrouted documents directly to the buyer’s bank. (April 24 Opening Brief, at 2, 7; Complaint, at 4).
- In relation to bookings ‘853 and ‘863, Respondent caused the letter of credit to expire. (April 24 Opening Brief, at 2, 7, Complaint, at 4-5).
- In relation to bookings ‘853 and ‘806, Respondent failed to endorse bills of lading, and, in relation to booking ‘806, Respondent lost the original bill of lading. (April 24 Opening Brief, at 9; Complaint, at 4-5).

² The Complaint and April 24 Opening Brief lack page numbers. I cite to the respective PDF pages. Page 7 of the April 24 Opening Brief has the heading Proposed Findings of Facts (“CPFF”). I will reference the CPFF simply by “April 24 Opening Brief, at 7.”

- Respondent did not accept responsibility for its failures regarding misrouting the letter of credit and losing the original bill of lading, leading to the abandonment of booking ‘806. (April 24 Opening Brief, at 3, 7; Complaint, at 4).
- In relation to booking ‘400, Respondent manifested the bill of lading with a discrepancy. (April 24 Opening Brief, at 3, 7; Complaint, at 6).
- In relation to booking ‘400, the carrier informed Complainants in May 2025 that the telex release was withheld due to Respondent’s unpaid administrative fees. (April 24 Opening Brief, at 3, 7).³

Complainants assert in their Complaint that, in addition to violation Section 41102(c) of the Shipping Act, Respondent “may have acted unfairly or discriminatorily in the provision of its services,” and states that Section 41104(a)(2) may apply. (Complaint, at 1). Complainants’ April 24 Opening Brief, however, does not advance any argument regarding Section 41104(a)(2).

Finally, accompanying the April 24 Opening Brief are eight appendices of exhibits. I reviewed and considered them. Several of the appendices contain timelines. (IWG-APP-A-0009 – IWG-APP-A-0013; IWG-APP-B-0012 – IWG-APP-B-0020; IWG-APP-C-0135 – IWG-APP-C-0138; IWG-APP-D-0101 – IWG-APP-D-0122; IWG-APP-E-0032 – IWG-APP-E-0037). The author of the timelines is unknown. The timelines are not authenticated and much of the information appears to be cut-off. I will not consider the timelines as evidence. I will, however, consider them as part of Complainants’ argument.

C. Arguments in Response

Respondent argues, in general, that Complainants’ case is poorly articulated and consists mostly of conclusory statements.⁴ (Response, at 1-10). Discussing the elements of Section 41102(c), Respondent argues that, at most, only five of the 44 shipments it handled for Complainants involved distinct errors, and that these five incidents are insufficient to constitute a “practice” under Section 41102(c). (Response, at 11-15). Respondent next argues that Complainants fail to show unreasonable conduct by Respondent, and argues, among other things, that Complainants bear at least some responsibility for some of the alleged errors. (Response, at 15-18). Respondent also argues that Complainants fail to prove how Respondent caused Complainants any damages. (Response, at 18-22).

D. Arguments in Reply

In Reply to the Response, Complainants argue that they demonstrated Respondent had a practice because “the underlying deficiencies involve the same operational functions performed by Respondent in connection with the handling and delivering of cargo.” (Reply, at 2).

³ The April 24 Opening Brief identifies 12 significant events; some of them can be combined.

⁴ Respondent spends several pages pointing out how Complainants, who are *pro se*, did not comply with the Initial Order. (Response, at 7-10). Respondent, who is represented by a law firm, also did not comply with the Commission’s Rules when Respondent emailed the MTC to OALJ, and did not email it to OS. (46 C.F.R. § 502.2(a); *see also* Initial Order, at ¶¶ 3, 5).

Complainants do not directly address Respondent’s argument that Complainants failed to show that Respondent acted unreasonably. Complainants instead reiterate their argument that Respondent “failed to maintain just and reasonable practices relating to the handling and delivery of cargo in violation of Section 41102(c).” (Reply, at 5-6). As for causation, Complainants argue that Respondent’s failures “in handling, processing, routing, and communicating shipment-related information caused delays, storage charges, demurrage, detention expenses, customer deductions, and other losses that would not have been incurred absent Respondent’s conduct.” (Reply, at 6-7). Finally, Complainants make no further argument regarding Section 41104(a)(2).

III. FINDINGS OF FACT

A. Background Facts

1. Complainant IWG is a limited liability company. (Complaint, at 1).
2. Complainant Honest Trading is a limited liability company. (Complaint, at 1).
3. Complainants represent that IWG and Honest Trading are partners, where “IWG manages the physical logistics and supply of wood products, while Honest Trading facilitates the necessary financial instruments and bears the associated financial risks.” (Interrogatory Answers, RX0061-RX0062).
4. Respondent is identified as the forwarding agent on several bills of lading. (IWG-APP-B-0025 – IWG-APP-B-0034; IWG-APP-D-0091 – IWG-APP-D-0092; IWG-APP-E-0038 – IWG-APP-E-0039).
5. Complainant IWG utilized Respondent’s services for 44 shipments between 2024 and 2025, including the five at issue. (CRRPFF, ¶ 6; *see also* Swilley Dep., RX0034:1-6; Marande Dep., RX0109:21 – RX0109:24).

1. Booking ‘640

8. A bill of lading on Orient Overseas Container Line letterhead for booking no. 2154787640, and bill of lading no. OOLU2154787640, shows a port of loading of Charleston, SC, a place of delivery as Nhava Sheva, India, of a shipment of nine containers of southern yellow pine logs. The laden on-board date was February 26, 2025. The shipper is listed as the Great Ocean Line PTE LTD c/o Exim Logistics, the notify party is identified as Overseas Timber Corporation (“Overseas Timber”), and Respondent is identified as the forwarding agent. (IWG-APP-E-0038 – IWG-APP-E-0039).

2. Bookings ‘806, ‘863, and ‘853

9. There is a sales contract dated January 20, 2025, between Complainant Honest Trading and BNBMG Forestry (Singapore) PTE, Ltd. (“BNBMG”) for the sale of approximately 30 containers of logs with a value of \$107,100. (IWG-APP-A-0076 – IWG-APP-A-0077).

10. There is a letter of credit on HBSC letterhead in the amount of \$107,100, with an expiry date of April 11, 2025, identifying Honest Trading as the beneficiary, and BNBMG, as the applicant. It states, in relevant part, “[a]ll documents must be issued in English or in the language specified on the credit, presented through your bankers.” (IWG-APP-A-0037 – IWG-APP-A-0040; IWG-APP-A-0063 – IWG-APP-A-0066). There is also an Advice of Irrevocable Documentary Credit on EastWest Bank letterhead dated February 13, 2025, that states, among other things, that: “Documents will be forwarded to the issuing bank for payment/acceptance.” (IWG-APP-A-0054 – IWG-APP-A-0058).
11. There is a booking confirmation on Yang Ming letterhead dated February 26, 2025, for booking ‘863 for shipment of logs from South Carolina to Laem Chabang, Thailand, with a sailing date of March 10, 2025, and an estimated arrival date of April 26, 2025. (IWG-APP-C-0088).
12. There is a booking confirmation on Yang Ming letterhead dated February 26, 2025, for booking ‘853 for the shipment of logs from South Carolina to Laem Chabang, Thailand, with a sailing date of March 26, 2025, and an estimated arrival date of May 21, 2025. (IWG-APP-B-0011).
13. There is a booking confirmation on Yang Ming letterhead dated February 26, 2025, for booking ‘806 for the shipment of logs from South Carolina to Laem Chabang, Thailand, with a sailing date of March 31, 2025, and an estimated arrival date of May 14, 2025. (IWG-APP-A-0008).
14. There are copies of bills of lading for booking ‘863, on Yang Ming letterhead for the transportation of eight containers of logs, with an onboard date of March 8, 2025, from Charleston, SC, to Laem Chabang, Thailand. (IWG-APP-C-0094 – IWG-APP-C-0105).
15. There are copies of bills of lading for booking ‘853, on Yang Ming letterhead for transportation of ten containers of logs, with an onboard date of March 26, 2025, from Charleston, SC, to Laem Chabang, Thailand. Respondent is shown as the forwarding agent. (IWG-APP-B-0025 – IWG-APP-B-0034).
16. There are copies of bills of lading for booking ‘806, on Yang Ming letterhead for transportation of five containers of logs, with an onboard date of March 31, 2025, from Charleston, SC, to Laem Chabang, Thailand. (IWG-APP-A-0072 – IWG-APP-A-0075).

3. Booking ‘400

17. There is a sales contract dated December 24, 2024, for the purchase of 25 containers of logs by Sita Ram and Company Private Limited (“Sita Ram”) from Complainant Honest Trading for \$80,850. (*See* IWG-APP-D-0012).
18. There is a booking receipt notice on Ocean Network Express (“ONE”) dated February 26, 2025, for booking ‘400, for a shipment from South Carolina to Mundra, India, with an estimated time of arrival of April 19, 2025. (IWG-APP-D-0123).

19. The record contains a bill of lading for booking '400 on ONE letterhead, showing Big Brother as the shipper, Sita Ram as the consignee and notify party, and Respondent as the forwarding agent. The shipment, which identified the cargo as weighing 140,670.487 kgs, was laden on board on March 11, 2025, in four containers, and was destined to go from South Carolina to Mundra, India. (IWG-APP-D-0091 – IWG-APP-D-0092).
20. The record contains a packing list dated May 13, 2025, showing four containers of logs from Honest Trading, the shipper. Much of it is blurry and illegible. (IWG-APP-D-098).

B. Relevant Facts Surrounding Shipments at Issue

1. Booking '640

21. On February 24, 2025, an IWG employee emailed Respondent's employees. The subject line of the email was "2154787640 / Packing List & Commercial Invoice - \$28,398.02[.]" The email indicated that a copy of a packing list and commercial invoice was attached. Respondent's employee responded that evening asking for additional information, which was provided the following day, February 25, 2025. (IWG-APP-E-0027 – IWG-APP-E-0028).
22. IWG's employee sent three emails to Respondent in mid-March. On March 12, 2025, and March 13, 2025, IWG's employee emailed Respondent's employee asking about draft documents for the shipment. (IWG-APP-E-0026 – IWG-APP-E-0027). On March 18, 2025, IWG's employee emailed bank details to Respondent's employee "to send the documents." (IWG-APP-E-0025 – IWG-APP-E-0026).
23. On March 19, 2025, Respondent's employee emailed a draft proof copy of the bill of lading to Complainant IWG's employee. On March 20, 2025, IWG's employee stated that the customer advised that the bill of lading "seems okay," and asked Respondent's employee to "proceed accordingly." (IWG-APP-E-0024 – IWG-APP-E-0025).
24. From March 26, 2025, through April 4, 2025, Complainant IWG's employee sent four emails to Respondent's employee asking for an update and for scanned copies of what was sent to the customer's bank. Respondent's employee responded on April 4, 2025, and provided a copy of the original bill of lading and a tracking number. (IWG-APP-E-0021 – IWG-APP-E-0027).
25. On April 8, 2025, and April 9, 2025, Complainant IWG's employee asked for a copy of a full set of shipping documents, indicating that the estimated time of arrival was April 13, 2025. (IWG-APP-E-0020 – IWG-APP-E-0021).
26. On April 9, 2025, Respondent's employee asked for a copy of the fumigation certificate; Respondent's employee in a separate email sent a draft copy of the phytosanitary certificate. (IWG-APP-E-0018 – IWG-APP-E-0019).
27. On April 10, 2025, IWG's employee asked if the phytosanitary certificate was sent to the bank, to which Respondent's employee responded the same day that it was not, as she was

unaware that it needed to be sent to the bank. She also indicated that the original bill of lading was sent to the bank. (IWG-APP-E-0017 – IWG-APP-E-0018).

28. A certificate of origin dated April 15, 2025, shows Exim Logistics, LLC as the consignor. (IWG-APP-E-0041 – IWG-APP-E-0042).
29. A packing list dated April 15, 2025, shows nine containers, and Exim Logistics as the shipper. (IWG-APP-E-0031).
30. A commercial invoice dated April 16, 2025, shows a sale from Exim Logistics, LLC to Overseas Timber of nine containers of logs for \$30,098.02. (IWG-APP-E-0003).
31. On April 16, 2025, IWG's employee wrote Respondent's employee stating: "SORRY FOR THE CONFUSION. THE CORRECT COMMERCIAL INVOICE ATTACHED 2154787640. This one to go out with the mailed docs." (IWG-APP-E-0014).
32. On April 16, 2025, IWG's employee emailed Respondent's employee with other documents to be sent to the bank, and indicated that the phytosanitary certificate may need to be amended. Respondent's employee responded the next day indicating that she was awaiting instruction. (IWG-APP-E-0013).
33. The record contains an email dated April 16, 2025, from Overseas Timber to IWG's employee stating: "With regards to your complain on Whatsapp as to why consignee name was not pointed out in the draft Phyto, please check the attachment with the mail sent on 15th April, being repeated herewith..have clearly circled and highlighted the issue." The email continued: "So anyways will await the corrected final Phyto with Overseas as the Consignee name." IWG's employee forwarded to Respondent's employee on April 16, 2025, stating: "Sorry this was not caught." (IWG-APP-E-0011 – IWG-APP-E-0012 (direct quotes are unedited)).
34. On April 17, 2025, IWG's employees and Respondent's employees exchanged emails to ensure that Respondent had the correct information regarding the phytosanitary certificate. In addition, Respondent's employee indicated that documents were being sent and provided a UPS tracking number. An employee of Overseas Timber wrote that the documents were good, and "[p]articularly thanks to Tiffany ... where were you so far ... Appreciate quick and proper responses. Craig Thanks and let's hope no more such issues ever in the future." (IWG-APP-E-0009 – IWG-APP-E-0011).
35. The containers arrived in port on or about April 18, 2025. (IWG-APP-E-014 (showing "E/ATA at POD: 18 APR 2025 (Fri), 0600"))).
36. On April 22, 2025, IWG's employee sent Respondent's employee an email stating: "Consignee is checking the 7 days detention free request. Please advise as this is badly needed due to delay in docs." Respondent's employee responded the same day stating that it would reach out to the carrier and request additional free time. IWG's employee followed up several times until April 28, 2025, when Respondent's employee responded stating that the

carrier “will not grant any additional free time for this shipment outside of the already agreed upon free time terms.” (IWG-APP-E-0005 – IWG-APP-E-0008).

37. On April 28, 2025, Blue River Forest Product’s employee emailed IWG’s employee asking who would cover the demurrage and detention, to which IWG’s employee responded the next day: “we’ll help with the charges and make sure this will work out and you don’t have to.” Overseas Timber’s employee indicated the detention would be around 1,000 per day for five days (though the currency was not specified). (IWG-APP-E-0004 – IWG-APP-E-0005).
38. In an undated email, Overseas Timber asked IWG’s employees for \$1,550 in reimbursement; the record contains an invoice dated August 14, 2025, for the same. (IWG-APP-E-0001 – IWG-APP-E-0002).
39. There are two emails from the customer to Complainants and Respondent. The first was dated April 30, 2025, and indicated that the customer would unstuff the nine containers and return them that day. (IWG-APP-E-0004). The second is an undated email in which the customer states it was able to unstuff the containers and returned them, though the customer incurred extra expenses to accomplish the task. (IWG-APP-E-0002).

2. Bookings ‘806, ‘863, and ‘853

40. The record has an email exchange from March 6, 2025, through March 7, 2025, between IWG’s employee and IWG’s customer regarding booking ‘863 where IWG’s customer made revisions to several shipping documents, and noted that the certificate of origin, phytosanitary certificate, and fumigation certificate are missing. IWG’s employees then forwarded the revisions to Respondent’s employees. (IWG-APP-C-0009 – IWG-APP-C-0011; IWG-APP-C-0133 – IWG-APP-C-0134).
41. There are emails dated March 28, 2026, from Peng Hanxing (who was apparently an agent for Complainants’ customer) to IWG indicating that a draft bill of lading regarding booking ‘853 has not been amended, asking that it be revised immediately, and asking for bills of lading for four bookings, including ‘863 and ‘853. (IWG-APP-B-0050 – IWG-APP-B-0051; IWG-APP-B-0083 – IWG-APP-B-0084; *see also* IWG-APP-B-0090; IWG-APP-C-0015 – IWG-APP-C-0016; IWG-APP-C-0021 – IWG-APP-C-0022). IWG’s employee forwarded the requests to Respondent on March 28, 2025, which Respondent acknowledged on April 1, 2025. (IWG-APP-B-0049 – IWG-APP-B-0059; IWG-APP-B-0081 – IWG-APP-B-0083; IWG-APP-C-0014 – IWG-APP-C-0015; IWG-APP-C-0021; IWG-APP-C-0045 – IWG-APP-C-0047).
42. On April 3, 2025, an employee of IWG emailed Respondent’s employee asking if it was still possible to change the details for the bills of lading for ‘863, ‘806, and ‘853. Respondent’s employee responded the same day warning that a fee may be applicable. (IWG-B-APP-0048 – IWG-B-APP-0049; IWG-APP-B-0080 – IWG-APP-B-0081; IWG-APP-C-0013; IWG-APP-C-0045 – IWG-APP-C-0046).
43. On April 14, 2026, Peng Hanxing emailed IWG’s employee stating that the name of the consignee on the certificate of origin for booking ‘853 has not been changed as BNBMG

requested. (IWG-APP-B-0076; *see also* Interrogatory Answer, RX0063-RX0064, RX0068-RX0069).

44. There is an email exchange dated April 17, 2025, regarding booking '863. In the exchange, Peng Hanxing emailed IWG's employee about a mistake regarding the consignee and notify party on the bill of lading. IWG's employee, in turn, asked Respondent's employee to have the bill of lading corrected. Respondent's employee acknowledged receipt of the request and indicated that the Respondent would ask the carrier to make the revision. (IWG-APP-C-0092 – IWG-APP-C-0093; *see also* IWG-APP-C-0012; IWG-APP-C-0072 – IWG-APP-C-0074; IWG-APP-C-0077 – IWG-APP-C-0078).
45. There is an email exchange dated April 22, 2025, where Peng Hanxing asked IWG's employee if the original documents related to booking '863 have been sent, and asked for the tracking number. IWG's employee forwarded the question to Respondent's employee, who stated that the documents were forthcoming. When Peng Hanxing expressed concern about potential delays, Respondent's employee wrote that "if there are any delays or penalties just let IWG know and they can bill back to Schenker for the delays." (IWG-APP-C-0089 – IWG-APP-C-0090; *see also* IWG-APP-C-0070 – IWG-APP-C-0071).
46. There is an email exchange between Respondent's employee, IWG's employee, and Peng Hanxing from April 22, 2025, through April 25, 2025, related to booking '806, where Respondent sent drafts of the certificate of origin and phytosanitary certificate to IWG, who forwarded the same to Peng Hanxing for approval. Peng Hanxing approved. Respondent's employee asked: "Can you confirm the address to send the original docs for me, please? I will then create UPS label and send these to go out tonight." Peng Hanxing responded: "BNBMG said the original documents shall be sent to the buyer's LC opening bank and your bank should have its address." Peng Hanxing's email then included the address. Respondent's employee indicated that the package would go out that evening. (RX0127 – RX0145).
47. Regarding booking '853, in an email dated April 28, 2025, Peng Hanxing informed IWG's employee that BNBMG discovered that the that weight on the packing list, 280.513, is different from the weight on the phytosanitary certificate and the bill of lading, which were listed as 280.515. IWG's employee forwarded information about the mismatch to Respondent. (IWG-APP-A-0046 – IWG-APP-A-0048; IWG-APP-B-0052 – IWG-APP-B-0064; *see also* RX0063-RX0064).
48. There are emails dated April 30, 2025, and May 1, 2025, from IWG's employee to Respondent. The email of April 30, 2025, indicated that: "documents were sent from forwarder to buyer's bank instead of forwarder to Craig's bank to buyer's bank." The email continued stating that the: "bookings were thru Letter of credit and documents should be sent bank to bank and you are all aware of this. From our bank to the buyers bank." IWG asked Respondent to resubmit documents for booking '806, '863, and '853 to EastWest bank. The email of May 1, 2025, repeated the content of the April 30, 2025, email, and also indicated that booking '863 already arrived on April 27, 2025. (IWG-APP-B-0057 – IWG-APP-B-0058; IWG-APP-A-0041 – IWG-APP-A-0045). Respondent's employee responded on May

1, 2025, apologizing, and stating that Respondent's team is working on a resolution. (IWG-APP-A-0042; *see also* IWG-APP-B-0057).

49. There are emails on May 5, 2025, and May 7, 2025, from IWG's employee to Respondent asking Respondent to ask for more free time for '863 because the cargo already arrived in Thailand on April 26, 2025, and there was concern regarding demurrage. IWG's employee also asked Respondent to take responsibility for the demurrage charges. (IWG-APP-C-0003 – IWG-APP-C-0006).
50. On May 6, 2025, Peng Hanxing emailed IWG's employee regarding booking '863, indicating that the carrier's bills of lading have different amounts of volume listed, which IWG's employee then forwarded to Respondent, asserting that the approved draft is different from those on the documents. Respondent's employee responded that the documents needed to be changed per the USDA for the phytosanitary certificate to be issued. (IWG-APP-C-0084 – IWG-APP-C-0087; *see also* Interrogatory Answer, RX0068-RX0069).
51. On May 8, 2025, IWG's employee emailed Respondent's employees asking Respondent to confirm that it would handle and take responsibility for the demurrage charge arising from '863. Respondent's employee responded on May 9, 2025, stating that Respondent "cannot dispute any D&D charges until after containers are returned. Please let us know when containers have been returned and we will start the process." (IWG-APP-C-0002 – IWG-APP-C-0003).
52. The record has demurrage invoices from Yang Ming to Hereng Hui Wood Co., Ltd., dated for the period May 12, 2025, through June 19, 2025, as well as the period of May 12, 2025, through June 21, 2025. The amounts of demurrage listed are not in U.S. dollars. (IWG-APP-C-0058 – IWG-APP-C-0061; *see also* IWG-APP-C-0067 – IWG-APP-C-0068).
53. In an email dated May 20, 2025, IWG's employee informed Respondent's employee that documents for bookings '806 and '853 were not properly endorsed, and that the certificates of origin were not signed. In addition, documents for '863 were en route to Respondent. IWG's employee sent a substantively similar email to Respondent on May 21, 2025. (IWG-APP-B-0056; IWG-APP-C-0065 – IWG-APP-C-0066; IWG-APP-C-0038; *see also* Interrogatory Answer, RX0063-RX0064; RX0151 – RX0153).
54. On May 20, 2025, Respondent's employee responded to the email from IWG's employee described in ¶ 53, stating: "Please note Chamber signs the COO, we do not certify, they do and it's listed. If 2 endorsements are needed this needs to be specified at time as this is not what we normally do." (RX0150-RX0151).
55. A May 29, 2025, email from an IWG employee to Respondent's employee, with a subject line referencing booking '806, stated: "Customer advised that BL received for this booking is not the original bill of lading. Please check and advise." (IWG-APP-B-0004 –IWG-APP-B-0005). IWG's employee later clarified that there were two affected bookings: '806 and '853. (IWG-APP-B-003 – IWG-APP-B-004).

56. On May 29, 2025, Respondent's employee responded to IWG's employee and wrote: "I sent you a copy of the documents this was approved to send. I don't understand as the OBLs show originals in the attachment?" (IWG-APP-B-0004).
57. On June 6, 2025, an employee of IWG emailed Respondent stating that bookings '806, '863, and '853, all incurred demurrage because of incorrect documentation. In particular, IWG's employee asserted that '863 has incurred nearly \$20,000 in demurrage fees. The IWG employee stated that Respondent's employee acknowledged responsibility for the demurrage, and requested that Respondent's employee request waiver or reduction of the demurrage fees. (IWG-APP-A-0052 – IWG-APP-A-0053; IWG-APP-C-0036 – IWG-APP-C-0037). IWG's employee sent follow-up emails to Respondent on June 9, 2025, and June 11, 2025, asking Respondent to pay for, or reimburse, the demurrage. (IWG-APP-A-0051 – IWG-APP-A-0053; *see also* IWG-APP-B-0067 – IWG-APP-B-0069; IWG-APP-C-0035 – IWG-APP-C-0036).
58. In a June 12, 2025 email, IWG employee's wrote to Respondent: "the Bill of Lading (BL) sent for booking YHU25912806 is not an original, as confirmed by YangMing Thailand. It is not a genuine BL and therefore cannot or for releasing the cargo."⁵ The email asks Respondent to apply for a telex release as soon as possible. (IWG-APP-A-0079).
59. The record contains images of three undated text messages that show neither the sender nor the recipient. (IWG-APP-A-0036). Presumably, the messages were sent on or about June 12, 2025, although this cannot be verified. One of the three texts is not in English. Of the remaining two, one says: "I've already brought this issue to your attention quite some time ago; the document in question isn't a genuine bill of lading, and I've even recorded several videos to demonstrate this to you." The other states in part: "Yangming said that they would release the goods to the consignee only after receiving the original unendorsed bill of lading, but 5 containers were not the original bill of lading. They refused to release them and could not clear customs either." (*Id.*).
60. On June 12, 2025, Respondent's employee emailed IWG, expressing confusion, and stating that the original bill of lading was sent to IWG for approval, and that this matter was resolved. (IWG-APP-A-0078 – IWG-APP-A-0079).
61. In an undated email, but presumably on or about June 12, 2025, IWG's employee emailed Respondent stating that the shipping line took the position that the original bill of lading for booking '806 was not genuine. The email also included a screenshot of a text message, which IWG's employee represented was from the customer, that said that the copy of the bill of lading provided could not be used for customs clearance and product retrieval. (IWG-APP-A-0078).
62. On June 13, 2025, Respondent's employee emailed IWG in response to IWG's request that Respondent cover demurrage fees regarding containers '806, '863, and '853 (*see* ¶ 57). In short, Respondent's employee denied that Respondent was responsible for the demurrage. In

⁵ It appears that this email is partially cut-off.

general, Respondent's employee asserted that Respondent sent the letters of credit to the incorrect bank based on instructions in the customer's email; that it sent documents to IWG for approval and that IWG approved; that Respondent worked with IWG to fix the mistakes; that Respondent signed letters of indemnity for the carrier; and that a delivery order was issued for all shipments on June 2. (IWG-APP-A-0049 – IWG-APP-A-0051; IWG-APP-B-0065 – IWG-APP-B-0067; IWG-APP-C-0033 – IWG-APP-C-0035).

63. An email of June 18, 2025, from an employee of IWG to Respondent stated that Respondent inadvertently mailed the original bill of lading for booking '806, which was returned to Respondent on May 9, 2025. The IWG employee continued, stating that Respondent did not include the original bill of lading when Respondent re-sent documents. The IWG employee asserted that Respondent needs to find the original bill of lading for '806 urgently, or pay for a new bill of lading. (IWG-APP-A-0029 – IWG-APP-A-0030).
64. On June 18, 2025, Respondent's employee emailed IWG, contesting IWG's email (*see* ¶ 63), and asserting that all documents were properly re-sent, including the original bills of lading, as well as the certificate of origin. Respondent's employee also indicated that if IWG wanted Respondent to have the bill of lading reissued, IWG would be required to sign a letter of indemnity and provide a guarantee covering 110% of the commercial invoice value. (IWG-APP-A-0028 – IWG-APP-A-0029).
65. On June 18, 2025, IWG's employee responded to Respondent's email (*see* ¶ 64) indicating that the certificates of origin were removed from the document package that was returned to Respondent, and asked Respondent to look for the original bills of lading. (IWG-APP-A-0027 – IWG-APP-A-0028).
66. Respondent's employee emailed IWG on June 19, 2025, and reiterated that the original bills of lading were not touched, that they were re-sent properly, that there are no original bills of lading at Respondent's office, and recommended that the receiving party scan everything that was in the package. (IWG-APP-A-0026 – IWG-APP-A-0027).
67. IWG's employee emailed Respondent on June 19, 2025, asking Respondent to conduct another search of its office, and that if could still not be found, to request a replacement bill of lading. (IWG-APP-A-0025 – IWG-APP-A-0026).
68. Respondent's employee emailed IWG on June 19, 2025, confirming that the bill of lading could not be found, and providing information regarding how to request a new one. (IWG-APP-A-0024 – IWG-APP-A-0025).
69. The record has invoices from Hutchinson Terminal to Herng Hui Wood Co., Ltd., dated June 19, 2025, and June 20, 2025, for daily storage charges for containers associated with booking '863. (IWG-APP-C-0053 – IWG-APP-C-0057).
70. IWG's employee emailed Respondent on June 20, 2025, requesting that Respondent initiate the process for obtaining a new bill of lading, including submitting a letter of indemnity. (IWG-APP-A-0023 – IWG-APP-A-0024).

71. Also on June 20, 2025, Respondent's employee responded to IWG, indicating that because Respondent is not at fault, it cannot assist. (IWG-APP-A-0022 – IWG-APP-A-0023).
72. IWG's employee replied on June 20, 2025, to Respondent's email, and asked Respondent to assist as IWG was unable to resolve the matter without Respondent's assistance. (IWG-APP-A-0021 – IWG-APP-A-0022).
73. On June 23, 2025, Respondent's employee sent multiple emails to IWG. Initially, Respondent's employee stated that it was discussing resolution details with the carrier. Later, Respondent's employee asked IWG to complete an authorization form. (IWG-APP-A-0019 – IWG-APP-A-0021).
74. IWG's employee emailed Respondent on June 24, 2025, stating that IWG was unable to sign the indemnity on behalf of the shipper, and that the customer wanted the issue with the bill of lading resolved immediately. IWG's employee asked Respondent to help resolve this matter. (IWG-APP-A-0018 – IWG-APP-A-0019).
75. Later on June 24, 2025, Respondent's employee responded to IWG's email stating that this was the only solution available, and asked IWG to have the shipper sign the indemnity. (IWG-APP-A-0017 – IWG-APP-A-0018).
76. On June 25, 2025, IWG's employee emailed Respondent stating that the shipper did not sign the indemnity agreement, and urged Respondent to sign the letter of indemnity to facilitate the release of the cargo. (IWG-APP-A-0017).
77. The record contains an invoice on Yang Ming letterhead for demurrage for the period of June 6, 2025, through June 27, 2025. (IWG-APP-A-0031 – IWG-APP-A-0032).
78. The record contains a document titled Terminate the Agreement, that provides, in essence, that a contract between Honest Trading and BNBMG dated January 20, 2025, is terminated, and that BNBMG incurred substantial demurrage and terminal fees "due to seller's failure to promptly provide the document to the buyer for customs clearance. . . ." (IWG-APP-G-0001 – IWG-APP-G-0002).

3. Booking '400

79. On March 7, 2025, IWG's employee emailed a packing list to Respondent's employee, indicating that the shipment had four containers. (IWG-APP-D-0021 – IWG-APP-D-0022; IWG-APP-D-0072; IWG-APP-D-0087 – IWG-APP-D-0088).
80. On March 20, 2025, IWG's employee emailed an updated packing list to Respondent's employee, amending the unit price in the invoice. (IWG-APP-D-0021; IWG-APP-D-0071 – IWG-APP-D-0072; IWG-APP-D-0087 – IWG-APP-D-0088).
81. On April 14, 2025, IWG's employee emailed Respondent's employee a series of requested changes to the documents for booking '400, including the phytosanitary certificate and

certificate of origin. On April 15, 2025, IWG's employee followed up regarding requested changes, noting that the shipment was scheduled to arrive on April 20, 2025, and stating that IWG will not be liable if charges are incurred. (IWG-APP-D-0062 – IWG-APP-D-0064; IWG-APP-D-0013 – IWG-APP-D-0014; IWG-APP-D-0035 – IWG-APP-D-0039; IWG-APP-D-0077 – IWG-APP-D-0080).

82. On April 18, 2025, IWG's employee emailed Respondent stating that the COO consignor and phyto exporter on the draft COO should be Honest Trading. On April 21, 2025, Respondent's employee responded with an edited draft COO, which IWG's employee approved. (IWG-APP-D-0033 – IWG-APP-D-0036).
83. On April 21, 2025, and April 22, 2025, employees for IWG, Respondent, and Blue River Forest Products exchanged emails about additional necessary corrections regarding various documents. Of relevance, the original bill of lading had an error that was already manifested and carrier help was needed to correct the issue. (IWG-APP-D-0027 – IWG-APP-D-0032).
84. The record contains an email exchange that occurred May 1, 2025, between Respondent's employee and the carrier where Respondent's employee asked for sea waybills for booking '400. The carrier responded that a telex release may be provided in lieu of sea waybills. (RX0158 – RX0163)
85. The record contains a cut-off email chain that began May 1, 2025, where an employee of Respondent responded to a cut-off email, asking IWG's employee if the carrier can issue a telex release for the subject shipment. IWG's employee responded the next day via email asking for a telex release. (IWG-APP-D-0126 – IWG-APP-D-0127).
86. On May 2, 2025, IWG's employee emailed the carrier and Respondent stating that the carrier cannot issue a telex release due to pending charges/invoice, asked Respondent to resolve the matter with the carrier, and asked Respondent to follow up regarding free days. Respondent's employee responded within the hour asking the carrier to change the payer to Respondent as Respondent had credits with the carrier, and instructed the carrier to apply the telex release. (IWG-APP-D-0125 – IWG-APP-D-0126; *see also* Interrogatory Answers, RX0074-RX0075). Also on May 2, 2025, the carrier emailed Respondent stating that the telex release had been performed. (RX0164 – RX0165).
87. IWG's employee emailed Respondent's employee later in the morning on May 14, 2025, and stated that the documents needed to be sent to the bank because the booking is through letter of credit. IWG's employee also stated that the customers will accept document discrepancies. (IWG-APP-D-0007 – IWG-APP-D-0008; IWG-APP-D-0052 – IWG-APP-D-0053).
88. On May 15, 2025, IWG's employee emailed Respondent's employee asking whether the documents related to '400 had been mailed yet, and instructed Respondent's employee to hold the documents and not mail them as changes were needed, and the bank documents required a manual signature. Respondent's employee responded the same day indicating that the documents would be sent that day. Respondent's employee later provided a tracking number. (IWG-APP-D-0004 – IWG-APP-D-0007; IWG-APP-D-0049 – IWG-APP-D-0052).

89. In a series of emails on May 20, 2025, IWG’s employee first emailed Respondent’s employee stating that the bank asked for a revised draft and cover letter, and asked Respondent to send these revisions. Respondent’s employee responded advising that there would be a fee, to which IWG’s employee was agreeable. Respondent’s employee provided a tracking number. IWG’s employee asked for copies of the documents, to ensure that correct documents were sent. (IWG-APP-D-0001 – IWG-APP-D-0004; IWG-APP-D-0046 – IWG-APP-D-0049).
90. The record has a text exchange dated May 22, 2025, and May 23, 2025, which apparently includes persons from Sita Ram, as well as IWG. It is difficult to read because it is blurry. One message from an unidentified party asks an unknown individual for invoices incurred due to the delay, which the customers also paid. The response states that total expenses were \$2400 USD, and there was a \$2000 USD discount with a \$400 balance due, and that the expenses could not be documented. (IWG-APP-D-0045).

IV. ANALYSIS

A. Burden of Proof

To prevail in a proceeding brought to enforce the Shipping Act, “a complainant has the burden of proving by a preponderance of the evidence that the respondent violated the Act.” (*Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey*, Dkt. No. 17-07, 1 F.M.C.2d 264, 278, 2019 WL 1376529 (ALJ Mar. 25, 2019) (settled on appeal, 1 F.M.C.2d 502 (FMC Dec. 19, 2019)); *see also* 5 U.S.C. § 556(d)).

B. Alleged Violation of 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.4

Complainants allege that Respondent violated 46 U.S.C. § 41102(c). That statute provides: “[a] common carrier, marine terminal operator, or ocean transportation intermediary, acting alone or in conjunction with another person, directly or indirectly, may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling storing or delivering property.” (46 U.S.C. § 41102(c)). By regulation, the Commission identified the following five elements of a claim under Section 41102(c):

- (a) the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) the claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) the practice or regulation relates to or is connected with receiving, handling, storing or delivering property;
- (d) the practice or regulation is unjust or unreasonable; and
- (e) the practice proximately caused the claimed loss.

(46 C.F.R. § 545.4).

1. The Practice of Regulation is Unjust or Unreasonable

The central element of a Section 41102(c) claim is whether the practice was unjust and unreasonable. The test for reasonableness is: “that the practice must be otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view.” (*Ceres Marine Terminal v. MD Port Admin.*, 27 S.R.R. 1251, 1997 WL 35281266, *38 (FMC 1997), *aff’d in part, rev’d in part on other grounds sub nom. MD Port Admin. v. Federal Maritime Comm’n*, 164 F.3d 624, 1998 WL 716035 (4th Cir. Oct. 13, 1998) (quoting *West Gulf Maritime Ass’n v. Port of Houston*, 21 F.M.C. 244, 248 (FMC 1978)).

Complainants’ case is built on the premise that Respondent acted unreasonably because it failed to fulfill its duties. Complainants make various assertions as to how Respondent failed in its duties, *e.g.*, having a lack of professional knowledge or mishandling original documents. (April 24 Opening Brief, at 4). Complainants, however, do not support their assertions as to what Respondent’s duties are. They cite no statute, regulation, case law, or treatise to support their assertions. Nor do they provide testimony from an expert witness or any other witness regarding what is expected of someone in Respondent’s position.

Nevertheless, I find that in this case, where Respondent was acting as an ocean freight forwarder (*see* FOF, ¶ 4), it is appropriate to look to Part 515 of the Commission’s regulations, which sets forth, among other things, “the duties and responsibilities of ocean transportation intermediaries[.]” (46 C.F.R. § 515.1). In particular, Sections 515.31 sets forth the general duties of an ocean transportation intermediary (“OTI”), and Section 515.32 specifically discusses a freight forwarder’s duties. In relevant part, Section 515.31 provides:

(f) *Errors and omissions of the principal or shipper.* An OTI who has reason to believe that its principal or shipper has not, with respect to a shipment to be handled by such OTI, complies with the laws of the United States, or has made any error or misrepresentation in, or omission from, any export declaration, bill of lading, affidavit, or other document which the principal or shipper executes in connection with such shipment, shall advise its principal or shipper promptly of the suspected noncompliance, error, misrepresentation or omission, and shall decline to participate in any transaction involving such document until the matter is properly and lawfully resolved

...

(h) *Express written authority.* No OTI shall endorse or negotiate any draft, check, or warrant drawn to the order of its OTI principal or shipper without the express written authority of such OTI principal or shipper

(46 C.F.R. § 515.31 (f) & (h)). In turn, Section 515.32 contains the following duties specific to an ocean freight forwarder (“OFF”).

(c) *Information provided to the principal.* No licensed freight forwarder shall withhold any information concerning a forwarding transaction from its principal,

and each licensed freight forwarder shall comply with the laws of the United States and shall exercise due diligence to assure that all information provided to its principal or provided in any export declaration, bill of lading, affidavit, or other document which the licensed freight forwarder executes in connection with a shipment is accurate.

(46 C.F.R. § 515.32(c)).

In addition to these general duties, the Commission's regulations identify services typically performed by an ocean freight forwarder and an NVOCC. Services provided by an OFF include, among other things, "preparing and/or processing export documents, including the required 'electronic export information;'" "preparing and/or processing common carrier bills of lading or other shipping documents;" "preparing and/or sending advance notifications of shipments or other documents to banks, shippers, or consignees, as required;" and "giving expert advice to exporters concerning letters of credit, other documents, licenses or inspections, or on problems germane to the cargoes' dispatch[.]" (46 C.F.R. § 515.2(h)(2), (5), (10), and (13)). There is overlap with services an NVOCC typically performs, such as "issuing bills of lading or other shipping documents[.]" (46 C.F.R. § 515.2(k)(4)).

While Part 515 sets forth other duties, such as financial responsibility (*see* 46 C.F.R. § 515.21) or use of a registration number (*see* 46 C.F.R. § 515.31(a)), the facts do not give rise to a violation of those duties and are not discussed here.

With this understanding of how an OTI should act, I analyze the eight allegedly unreasonable acts that Complainants highlight.

i. Booking '640

- *In relation to booking '640, Respondent made only minimal communications with Complainants from February 25, 2025, through April 10, 2025, other than some emails on March 19, 2025, and March 20, 2025.* (April 24 Opening Brief, at 3, 7; Complaint, at 5).
- *In relation to booking '640, Respondent failed to include several documents in a bank courier because Respondent's staff was unaware of the requirement to send other documents along with a bill of lading.* (April 24 Opening Brief, at 3, 7; Complaint, at 5).

I summarize relevant facts in relation to Complainants' allegations. The parties exchanged information regarding booking '640 on February 24, 2025, and February 25, 2025. (FOF, ¶ 21). IWG's employee asked for draft documents on multiple occasions until March 19, 2025, when Respondent provided a draft of the bill of lading. (FOF, ¶¶ 22-23). IWG's employee advised that the customer thought that the bill of lading "seemed okay," and told Respondent to proceed accordingly. (FOF, ¶ 23). Beginning March 26, 2025, IWG's employee then sent several more emails to Respondent asking for scanned copies of documents that were sent to the bank, to which Respondent's employee responded on April 4, 2025, with a copy of the original bill of lading. (FOF, ¶ 24).

On April 8, 2025, and April 9, 2025, IWG's employee asked for a full set of shipping documents. (FOF, ¶ 25). On April 9, 2025, Respondent's employee asked for a copy of the fumigation certificate and provided a draft copy of the phytosanitary certificate. (FOF, ¶ 26). On April 10, 2025, IWG's employee asked if the phytosanitary certificate was sent to the bank, to which Respondent's employee responded the same day saying it was not sent as she was unaware that this was required. (FOF, ¶ 27).

Based on these findings, I find that Respondent was unresponsive during the periods from February 25, 2025, through March 18, 2025, and again from March 26, 2025, through at least April 4, 2025. I also note that a freight forwarder has a duty to provide information to its principal and that a freight forwarder usually provides shipping documents. (46 C.F.R. §§ 515.2(h)(5), 515.32(c)). Respondent cites *Sameh Elawamry v. CMA CGM (America) LLC*, Dkt. No. 2007(I), 2024 WL 4491609, at *17 (SCO Oct. 7, 2024) (notice not to review (FMC Nov. 5, 2024)), for the proposition that lag time in responding is not necessarily unreasonable. (Response, at 17). The respondent in that case, however, was a carrier, not a freight forwarder who has a regulatory duty to keep its principal informed. (*Elawamry*, 2024 WL 4491609, at *17). I am satisfied that Respondent failed to fulfill its duties to IWG by remaining unresponsive to IWG's inquiries in relation to booking '640 for an unreasonably long period of time during the February 2025 through April 2025 time-period.

As for Complainants' assertion that Respondent failed to send other documents to the bank along with the original bill of lading because Respondent's employee was "unaware" of what was needed, I also find that Respondent failed to fulfill its duties. As noted, freight forwarders not only prepare and send shipping documents, but freight forwarders typically give "expert advice" in the export of cargo. (46 C.F.R. § 515.2(h)(5) and (13)). Therefore, Respondent's conduct fell short of what is typically expected of a freight forwarder by not forwarding the appropriate documents.

Respondent tries to defend itself by noting that on April 4, 2025, it informed IWG's employee that it only sent the original bill of lading to the bank, and in any event, it was later discovered that IWG made mistakes in its documents. (Response, at 16-17; *see also* FOF ¶¶ 24, 31-34). These facts undercut Complainants' argument that Respondent's conduct caused damages, but they do not undercut the fact that freight forwarders typically provide the service that Respondent's employee failed to provide here. Indeed, Respondent concedes that there are "mandatory requirements in connection with a Letter of Credit" (Response, at 16), which its employee apparently did not know (FOF, ¶ 27), despite the fact that freight forwarders are typically "experts" at exporting cargo (46 C.F.R. § 515.2(h)(5) and (13)).

ii. Bookings ‘806, ‘863, and ‘853

- *In relation to booking ‘806, Respondent misrouted letter of credit documents directly to the buyer’s bank.* (April 24 Opening Brief, at 2, 7; Complaint, at 4).
- *In relation to bookings ‘853 and ‘863, Respondent caused the letter of credit to expire.* (April 24 Opening Brief, at 2, 7; Complaint, at 4-5).
- *In relation to bookings ‘853 and ‘806, Respondent failed to endorse bills of lading, and, in relation to booking ‘806, Respondent lost the original bill of lading.* (April 24 Opening Brief, at 7; Complaint, at 4-5).
- *Respondent did not accept responsibility for its failures regarding misrouting the letter of credit and losing the original bill of lading, leading to the abandonment of booking ‘806.* (April 24 Opening Brief, at 3, 7; Complaint, at 4).

I first address Complainants’ allegations regarding Respondent’s allegedly unreasonable conduct in relation to the letter of credit. I summarize the relevant facts as follows. There is a letter of credit in the record with an expiry date of April 11, 2025, which stated that documents were to be presented through “your bankers.” Complainants’ bank’s document read: “Documents will be forwarded by the issuing bank for payment/acceptance.” (FOF, ¶ 10). The record also shows an email exchange from April 22, 2025, through April 25, 2025, in which Respondent’s employee asked: “Can you confirm the address to send the original docs for me, please? I will then create UPS label and send these to go out tonight[.]” the buyer’s agent responded: “BNBMG said the original documents shall be sent to the buyer’s LC opening bank and your bank should have its address[.]” and included the bank’s address. Respondent’s employee indicated that the package would go out that evening. (FOF, ¶ 46). There are emails in the record from late April and early May 2025 asserting that Respondent misrouted the documents per the terms of the letter of credit. (FOF, ¶ 48). Complainants also assert that the letter of credit expired on or about May 7, 2025, “[b]ecause the documents were not correctly presented to the appropriate bank within the required timeframe and in the correct sequence[.]” (Interrogatory Answers, RX0066-RX0067).

I find that Complainants do not carry the burden of proving their allegations related to the letter of credit, either in terms of misrouting the documents, or in terms of allowing the letter of credit to expire, because the record is missing the apparently operative letter of credit. As noted, the letter of credit in the record has a stated expiration of April 11, 2025 (the “Record LC”). (FOF, ¶ 10). Complainants, however, assert that the letter of credit expired on or about May 7, 2025. (Interrogatory Answers, RX0066-RX0067). To Complainants’ point, there are emails in the record from late April and early May 2025 asserting that Respondent misrouted documents under the terms of the letter of credit. (FOF, ¶ 48). If the Record LC were the only letter of credit between the parties, then it would have already expired before anything was allegedly misrouted. Accordingly, I find that it is more likely than not that there is another letter of credit between the parties that is missing from the record (the “Missing LC”).⁶

⁶ I also did not see a rider or addendum to the Record LC extending the expiration.

Because the record is missing the letter of credit that was apparently in effect in late April 2025, its terms and conditions are unknown. Although the Record LC provides that banks are to transmit documents to one another, I cannot assume that the Missing LC contained the same terms. While emails accusing Respondent's employee of misrouting the letter of credit suggest that the Missing LC may have had terms similar to the Record LC, the emails alone do not provide sufficient evidence to establish this as a fact. Rule 1002 of the Federal Rules of Evidence, traditionally called the "Best Evidence Rule," provides that "[a]n original writing, recording, or photograph is required in order to prove its content unless these rules or a federal statute provides otherwise." (FED. R. EVID. 1002; *see also* 46 C.F.R. § 502.204(a) ("The presiding officer may consider the Federal Rules of Evidence for guidance.")). In other words, to prove the terms of a document, such as a contract, a copy of the document itself (or a copy of the document) must be admitted into evidence unless an exception applies, such as the original being lost or destroyed, and not by the proponent acting in bad faith. (FED. R. EVID. 1004(a); *Nicosia v. Amazon.com, Inc.*, 384 F. Supp. 3d 254, 268 (E.D.N.Y. 2019)). Because there is no reason to believe that an exception to the Best Evidence Rule applies, I find that the terms of the Missing LC are not in the record.

Because the terms of the Missing LC are not in the record, I find that Complainants have not carried their burden of proving that Respondent acted unreasonably by sending documents directly to the buyer's bank. The only evidence in the record to support Complainants' allegation that Respondent acted unreasonably in sending documents directly to the buyer's bank consists of accusations in emails (FOF, ¶ 48), and unverified interrogatory answers (*see* Interrogatory Answers, RX0055-RX0104) (missing verification); 46 C.F.R. § 502.145(b)(5) (requiring a signature)). As Respondent points out, however, there was an email exchange where Respondent's employee asked where documents should be sent, to which Peng Hanxing replied, stating that: "BNBMG said the original documents shall be sent to the buyer's LC opening bank and your bank should have its address[.]" and provided that address. (FOF, ¶ 46; Response at 18). Accordingly, I find, based on the record before me, that this email exchange provided Respondent's employee with unclear direction. As for the Interrogatory answers in the record, nothing substantiates the Complainants' self-serving statement other than the accusatory emails.

I note that freight forwarder services typically include giving expert advice to exporters concerning letters of credit, and that freight forwarders have a duty to provide accurate information. (46 C.F.R. § 515.2(h)(13); 46 C.F.R. § 515.32(c)). Complainants essentially assert that Respondent should know how letter of credit transactions work. (April 24 Opening Brief, at 4). Complainants, however, cite no authority or evidence to support their assertion. For example, they do not introduce any expert testimony about how a letter of credit transaction typically occurs, nor do they provide any citations to a treatise that describes such a transaction to support that assertion.

In sum, because the only evidence in the record that Respondent acted unreasonably in having shipping documents routed directly to the issuing bank consists of accusatory emails that follow a confusing email exchange, as well as unverified and self-serving interrogatory answers, Complainants did not carry their burden of demonstrating that Respondent's employee acted unreasonably in sending documents directly to the issuing bank.

I also cannot find that Respondent's delays caused the Missing LC to expire. Complainants' assert that the Missing LC expired on or about May 7, 2025. (Interrogatory Answer, RX0066-RX0067). As noted before, however, without the actual document in the record (or a copy), and without an exception applying, there is nothing in the record to support the accusation that the Missing LC expired on or about May 7, 2025, or any other day.

Aside from Complainants' allegations of unreasonable conduct in relation to the letters of credit, Complainants allege that Respondent acted unreasonably by failing to sign certificates of origin on bookings '853 and '806. I find that Complainants carried their burden. There appears to be no dispute that the certificates of origin were not signed. (FOF, ¶ 53). There is a dispute regarding whether it was Respondent's responsibility. (FOF, ¶ 54). Complainants' position, *i.e.*, that it was Respondent's responsibility, has support, as arranging for the processing of such documents is a task that a freight forwarder would normally perform. (46 C.F.R. § 515.2(h)(2) & (5)). Respondent's employee asserted in an email, however, that Respondent does not sign certificates of origin, and that Complainants should have asked for a signature. (FOF, ¶ 54). I appreciate this point. But, given that Respondent is identified as the freight forwarder on the bills of lading in this case, it is more likely than not that Respondent should have procured an appropriate signature or endorsement.

Complainants assert that Respondent allegedly acted unreasonably by losing the original bill of lading for '806 altogether. I find that Complainants did not carry their burden of proof. As noted, freight forwarders typically prepare and process shipping documents, which would include proper transmission. (46 C.F.R. § 515.2(h)(2) & (5)). There are several emails in the record where IWG's employee accused Respondent of not mailing the original bill of lading for booking '806 to Thailand in mid-May 2025. (FOF, ¶¶ 55, 58-59, 61, 63, 65). Respondent's employees contest this assertion, and state that the original bill of lading was properly sent. (FOF, ¶¶ 56, 60, 64, 66). IWG's employees asked Respondent's employees to search their office, which they did, but found nothing. (FOF, ¶¶ 65-68). Based on the factual record, it is possible that Complainants correctly allege that Respondent failed to send the original bill of lading to Thailand, and that Respondent misrepresented (either intentionally or not) that Respondent sent the bill of lading. But, that is not the only possibility – for example, it is possible that the intended recipient misplaced the original bill of lading shortly after receipt and asked for a replacement. Without more evidence, such as a statement under oath by the intended recipient regarding what he or she received – an assertion in an email is not a statement under oath – I find that there are multiple, equally possible reasons the original bill of lading was lost. (*Greenwich Collieries v. Director, Office of Workers' Compensation Programs*, 990 F.2d 730, 737 (3d Cir. 1993) (“The ALJ found that the evidence was in equipoise on the issues of pneumoconiosis and total disability, which, by definition, means that Ondecko did not carry his burden of proof by a preponderance of the evidence on these issues.”)).

Finally, Complainants argue that Respondent acted unreasonably in refusing to accept responsibility for demurrage charges due to losing the original bill of lading in relation to '806, and misrouting the documents related to the letter of credit. (FOF, ¶¶ 57, 62). As noted, however, Complainants did not carry their burden of proving that Respondent acted unreasonably in relation to the original bill of lading for booking '806, or in misrouting documents related to the letter of credit. Therefore, I find that Complainants did not carry their burden of showing Respondent's response to be unreasonable.

iii. Booking ‘400

- *In relation to booking ‘400, Respondent manifested the bill of lading with a discrepancy.* (April 24 Opening Brief, at 3, 7; Complaint, at 6).
- *In relation to booking ‘400, the carrier informed Complainants in May 2025 that the telex release was withheld due to Respondent’s unpaid administrative fees.* (April 24 Opening Brief, at 3, 7).

The last two allegedly unreasonable acts raised by Complainants relate to booking ‘400. The first is that Respondent manifested the weight incorrectly on the bill of lading despite having the correct packing list as early as March 7, 2025. (April 24 Opening Brief, at 3, 7). Complainants do not carry their burden of proof. In general, a freight forwarder has a duty to provide accurate information and typically prepares shipping documents (46 C.F.R. § 515.2(h)(2) & (5); 46 C.F.R. § 515.32(c)). Emails in the record indicate that Complainants sent a packing list to Respondent on March 7, 2025. (FOF, ¶ 79). The packing list in the record is blurry, but it appears to be dated May 13, 2025, though the weight is not legible. (FOF, ¶ 20). The bill of lading in the record shows a weight of 140,670.487 kgs. (FOF, ¶ 19). It is apparent from the record that there was an email exchange from April 21, 2025, through April 22, 2025, regarding an error in the bill of lading that required the assistance of the carrier to correct. (FOF, ¶ 83). It is not apparent, however, where the error originated. The packing list in the record, May 13, 2025, does not match the date the packing list that was originally sent, March 7, 2025, nor is the packing list in the record legible. Thus, Complainants do not support their position with anything but their own, self-serving assertions.

As for the argument that Respondent acted unreasonably in allowing Complainants’ cargo to be withheld because Respondent failed to pay its own administrative fees with the carrier, I find that Complainants do not carry their burden of proof. A freight forwarder’s services often include preparing and processing documents, which, I find, would include not causing cargo to be delayed due to failure to pay its own fees. (*See generally* 46 C.F.R. § 515.2(h)). Here, it appears from emails in the record on May 2, 2025, that the carrier was withholding the telex release due to unpaid fees from Respondent. (FOF, ¶ 86). But it also appears that Respondent handled the issue promptly. (FOF, ¶ 86). And the telex release was issued on May 2, 2025. (FOF, ¶ 86). I find, therefore, that it is more likely than not that the issue was resolved the same day it was raised. Moreover, even if unpaid administrative fees never should have been an issue, it appears that the issue caused no material delay.

- *Other Alleged Failures Not Highlighted by Complainants.*

In addition to the specific allegations of unreasonable conduct by Respondent already discussed above, Complainants repeatedly allege systemic failures by Respondent. (*See generally* Complaint; April 24 Opening Brief; Reply). I reviewed the record, which is

summarized in the Findings of Fact above, looking for instances of potentially unreasonable conduct not otherwise highlighted by Complainants in the April 24 Opening Brief.⁷

As a general matter, many of Complainants' allegations lack support. For example, in relation to booking '640, Complainants assert that "[i]ncorrect shipper details appeared in the Bill of Lading." (Complaint, at 5; *see also* Interrogatory Answers, RX070-RX0071). Nothing in the record supports this allegation. The bill of lading in the record shows that the shipper is: "Great Ocean Line PTE LTD c/o Exim Logistics, LLC," whereas the Packing List, Commercial Invoice, and Certificate of Origin all show Exim Logistics, LLC, as the shipper, seller or consignor. (FOF, ¶¶ 8, 28-30). If the addition of "Great Ocean Line PTE LTD" materially affected the bill of lading negatively, there is no email traffic to that extent. Regardless, Respondent sent a draft of the bill of lading to Complainants for approval, to which Complainants responded that the bill of lading "seems ok." (FOF, ¶ 23).

As another example of allegations lacking support, there is an email dated April 28, 2025, from Peng Hanxing to IWG's employee regarding booking '853, stating that BNBMG discovered that the weight on the packing list, 280.513, is different from the weight on the phytosanitary certificate and the bill of lading, which were listed as 280.515. (FOF, ¶ 47). IWG's employee forwarded information about the mismatch to Respondent. (FOF, ¶ 47) Complainants assert that Respondent did not respond about the mismatch in a timely manner, and that Complainants needed to fix the discrepancies themselves. (Interrogatory Answers, RX0063-RX0064). Aside from a self-serving interrogatory answers – which are not verified – there is nothing in the record to corroborate this allegation.

There is also an unclear reference in relation to booking '400 that Complainants' customer would accept discrepancies. (FOF, ¶ 87). Based on the record, it is unclear what the alleged discrepancies are, or who is to blame for them.

Second, as alluded to above, it is not clear that, to the extent there were errors, all errors were Respondent's fault. For example, IWG's owner sent an email on April 16, 2025, in relation to booking '640, admitting that Complainants made an error on the commercial invoice. (FOF, ¶¶ 31, 33; *see also* FOF, ¶ 34 ("Craig Thanks and let's hope no more such issues ever in the future.")). As another example, on March 28, 2025, Peng Hanxing noted that a draft bill of lading for booking '853 had not been amended. (FOF, ¶ 41). A few days later, on April 3, 2025, Complainants' employee asked Respondent if it was still possible to change details not only for the bill of lading for booking '853, but also for bookings '806 and '863, to which Respondent's employee said a fee would apply. (FOF, ¶ 42). This exchange suggests that there were corrections to be made to the bills of lading for bookings '806, '863 and '853 in late March or early April 2025 that were not Respondent's fault. It is also not clear if later errors in the bills of lading discussed in emails of April 28, 2025, and May 6, 2025, associated with bookings '853 and '863, were Respondent's fault. (FOF, ¶¶ 47, 50). As a third example, Complainants made

⁷ As discussed in the main text, Complainants' proposed Findings of Fact in the April 24 Opening Brief only proposes the eight alleged errors specifically discussed in the main text. If Complainants believe that I failed to discuss a specific mistake or error by Respondent in this section, it is because the mistake or error was not highlighted in Complainants' April 24 Opening Brief.

multiple requests to change information on the phytosanitary certificate and certificate of origin in relation to booking ‘400 on April 14, 2025, and April 18, 2025. (FOF, ¶¶ 81-82).

Third, it is also not clear how many of the corrections are within the range of normal. For example, on March 7, 2025, email correspondence suggests that Complainants sent corrections related to booking ‘863. (FOF, ¶ 40). There appears to be no allegation or evidence that these corrections were resulting from a mistake caused by Respondent.

I note that there is one instance where Respondent apparently committed an error. Respondent apparently lost track of a few documents in relation to booking ‘640 that Respondent had to ask Complainants to send again. (FOF, ¶ 26; *see also* Interrogatory Answers, at RX0070-RX0071 (“IWG was forced to resend the Fume/Phytosanitary Certificate on April 9, 2025, because Respondent had lost track of the original electronic or physical file.”)). Nothing in the record suggests that this error caused Complainants to suffer any loss (and indeed, as discussed below, Complainants themselves admitted to causing an error in relation to booking ‘640).

Finally, it appears that there is one instance where Respondent acknowledged making a mistake not elsewhere discussed. In an email exchange on April 22, 2025, Respondent notes that it would be responsible for fees related to changes in documents in mid-April, 2025. (FOF, ¶ 45).

- *Unreasonable Conduct: Summary and Conclusion*

Based on my review of the record, I find that Respondent committed some errors that Respondent should not have made. In relation to booking ‘640, Respondent was uncommunicative for an unreasonably long period of time, and did not provide documents to a bank that it should have provided. In relation to bookings ‘806, and ‘853, Respondent acted unreasonably by failing to procure signatures on certificates of origin.

Complainants did not carry their burden of showing that Respondent acted unreasonably in terms of the letter of credit, either by misrouting documents related to booking ‘806 or by causing the letter of credit to expire in relation to bookings ‘853 and ‘863 through delay. Nor did Complainants demonstrate that Respondent acted unreasonably by losing the original bill of lading for ‘806, or not accepting responsibility for allegedly misrouting or losing the original bill of lading for ‘806. Regarding booking ‘400, Complainants did not show Respondent acted unreasonably by manifesting an incorrect weight on the bill of lading, or by allowing Complainants’ cargo to be withheld because Respondent failed to pay its own administrative fees with the carrier. I also find that while there is evidence of a handful of other mistakes by Respondent, Complainants have not carried their burden of showing that Respondent made numerous other mistakes.

2. Normal, Customary and Continuous

The Commission stated that one of the elements of a successful claim under Section 41102(c) is that the practice must occur on a normal, customary and continuous basis.

The Commission issued 46 C.F.R. § 545.4 in 2018. In the rulemaking for that rule, the Commission stated that: “Section 41102(c) was never intended to be a method of resolving every dispute that arises in the receiving, handling, storing or delivering of cargo.” (*Interpretive Rule*,

Shipping Act of 1984 (“*Interpretive Rule*”), 83 FED. REG. 64478, 64479). Instead, the Commission clarified that, historically, a violation of Section 41102(c) (and its predecessor statute) requires a showing that, “. . . the unreasonable regulation or practice was the normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business.” (*Id.*) (citations omitted). In short, Section 41102(c) does not create a remedy for a one-time unreasonable act. To state a claim under Section 41102(c), the act at issue must be a “regulation or practices,” which occurs on a normal, customary and continuous basis. (46 U.S.C. § 41102(c); 46 C.F.R. § 545.4; *see also Crocus Investments, LLC v. Marine Trans. Logistics, Inc.*, Dkt. No. 15-04, 2021 WL 3732849, at *8 (FMC Aug. 18, 2021)).

As noted above, Complainants carried their burden of demonstrating that Respondent committed errors and engaged in unreasonable conduct; however, Complainants were able to carry that burden as to only a limited number of instances of unreasonable conduct. In the context of a business relationship between Complainants and Respondent that extended over the course of 44 shipments, Complainants highlighted, and carried their burden, regarding three instances of unreasonable conduct (in relation to booking ‘640, Respondent was uncommunicative and failed to send appropriate documents to a bank; in relation to bookings ‘806, and ‘853, Respondent failed to have documents properly endorsed), plus a few other acts, some of which Respondent admitted. I do not find a “normal, customary and continuous” practice where Respondent engaged in unreasonable conduct, or allowed an unreasonable number of errors.

This case is comparable to *Investigation of Certain Practices of Stockton Elevators, No. 1072*, 8 F.M.C. 181, 196 (FMC Jun. 30, 1964)). There, the Commission affirmed the Hearing Officer’s conclusion that “an occasional practice such as here shown[,]” namely “the granting of five allowances or the arraigining for the single wharfage reduction” over the course of approximately five-and-a-half-months did not constitute a “practice.” (*Id.*, at 200-02; *see also Crocus Investments*, 2021 WL 3732849, at *8 (citing *Stockton Elevators*, and stating “Even six instances of ‘unreasonable conduct’ carried out over a period of several months involving the same entities have been ruled insufficient to prove that conduct was ‘uniform or continuous’ under § 41102 (or its predecessor, section 17 of the Shipping Act).”). A handful of errors over the course of a business relationship that spanned more than forty shipments is not a “practice.”

In contrast, this case is distinguishable from *MSC Mediterranean Shipping Co., S.A. – Possible Violations of the Shipping Act 46 U.S.C. §§ 41102(c), 40501, and 41104(A)(2)(A)*, Dkt. No. 23-08, 2026 WL 92421 (FMC Jan. 6, 2026). In that case, due to internal processing problems, a carrier overcharged demurrage and detention for non-operating reefers at least 2,629 times over a nine-month period. (*Id.*, at *2). Although these errors only occurred on 23% of comparable demurrage and detention invoices, the Commission wrote:

Even if mainly an unintentional result of a belatedly-discovered billing system error, the thousands of overcharges were too numerous and frequent to be considered anything but an unreasonable practice – or stated another way, MSC failed to observe the reasonable practice of *not* overcharging by doing so 23% of the time.

(*Id.*, at *21). Here, this case does not involve thousands of billing errors over a nine-month period. This case involves a single-digit number of errors in the course of a business relationship that spanned more than forty shipments.

Because I find that the Respondent's errors or unreasonable acts did not occur on a "normal, customary and continuous" basis, I find that Complainants' claim that Respondent violated Section 41102(c) fails.

I address the other elements of a claim under Section 41102(c) for the sake of completeness.

3. Regulated Entity and Relate to Property

There are two elements of a claim under Section 41102(c) that are easily satisfied.

First, the respondent needs to be a regulated entity. (46 C.F.R. § 545.4). There is no question here that Respondent acted as a freight forwarder, and is even identified as such on several of the bills of lading. (FOF, ¶ 4). Therefore, Respondent acted as an ocean transportation intermediary.

Second, the practice must relate to or be connected with receiving, handling, storing or delivering property. (46 C.F.R. § 545.4). Assuming, for purposes of analyzing this element only, that Complainants could show that Respondent engaged in a practice of carrying on poor cargo management practices, there is no question that the "relate to property" element is satisfied.

4. Causation

The final element of a Section 41102(c) claim is that the complainant must show that the practice proximately caused the claimed loss. (46 C.F.R. § 41102(c)). I find that Complainants again fail to produce sufficient proof.

As noted above, Complainants have carried their burden of showing unreasonable conduct by Respondent in relation to booking '640. Respondent was uncommunicative for a lengthy time period, and Respondent failed to send appropriate documentation to a bank. Nevertheless, it is unclear that this caused any harm. The lack of communication occurred between February 24, 2025, and April 4, 2025. (FOF, ¶¶ 21-24). Respondent's failure to send appropriate documents to a bank was discovered no later than April 10, 2025. (FOF, ¶ 27). On April 16, 2025, Complainants admitted to causing an error. (FOF, ¶¶ 31, 33). On April 17, 2025, a new set of documents were sent via UPS. (FOF, ¶ 34). The customer was able to retrieve the containers, unstuff them and return them on or about April 30, 2025. (FOF, ¶ 39). In light of this timeline, it is unclear how a lack of communication that resolved by April 4, 2025, or an error that was discovered no later than April 10, 2025, caused a delay where there was a subsequent error caused by Complainants on April 16, 2025.

Similarly, in relation to bookings '806, and '853, Respondent failed to have documents properly endorsed. The topic was discussed in an email exchange on May 20, 2025. (FOF, ¶¶ 53-54). Although Respondent disclaimed responsibility (FOF, ¶ 54), I found above that Respondent was responsible for having documents properly endorsed. Nevertheless, it is unclear whether the

failure to procure a proper signature caused harm. As noted, the original bill of lading for booking ‘806 was apparently lost altogether, which apparently caused significant delay. (FOF, ¶¶ 55-56, 58-61, 63-66, although I noted above that it is unclear who is responsible for that loss). As for booking ‘853, it apparently arrived on or about May 21, 2025. (FOF, ¶ 12). Complainants presented no evidence showing that the issue failed to be corrected before causing demurrage or detention to accrue. For example, the issue could have been resolved before free time expired. Regardless, it appears that Respondent executed a letter of indemnity. (FOF, ¶ 62).

In short, even if Complainants establish that Respondent engaged in unreasonable conduct, and even if the instances of unreasonable conduct I identified constituted a “normal, customary and continuous” practice, Complainants have not shown that the conduct caused them harm.⁸

C. Alleged Violation of Section 41104(a)(2)

As noted, the Complaint alleges that to the extent Respondent may have acted unfairly or discriminatorily in the provision of its services, Section 41104(a)(2) may apply. (Complaint, at 2). I find that Complainants abandoned this argument by making no mention of it in their April 24 Opening Brief or Reply. (*State St. Bank and Trust Co. v. Inversiones Errazuria Limitada*, 374 F.3d 158, 172 (2d Cir. 2004); *Wilkerson v. Grinnell Corp.*, 270 F.3d 1214, 1322 (11th Cir. 2001)). For this reason alone, this claim is appropriately denied. Accordingly, Complainants’ claim under Section 41104(a)(2) is **DENIED**.

D. Respondent’s Motion to Compel Initial Disclosures

Finally, the record contains Respondent’s Motion to Compel Initial Disclosures (“MTC”) that Respondent sent only to judges@fmc.gov, and did not properly submit to the Office of the Secretary. The MTC is **DENIED** as moot.

V. CONCLUSION

Upon consideration of Complainants’ April 24 Opening Brief, Respondent’s Response, Complainants’ Reply, the related filings of each, including proposed statement of facts and responses, as well as exhibits, it is:

HEREBY ORDERED that judgment is **DENIED** as to Complainants’ claim that Respondent violated 46 U.S.C. § 41102(c). It is

⁸ Even if Complainants were entitled to reparations, Complainants would be entitled to significantly less than the \$805,547.98 in reparations that they claim in their April 24 Opening Brief. The lion’s share of the claimed reparations comes from a cancelled contract allegedly valued at \$3,595,200 with \$650,000 in estimated profit. (Complainants’ Initial Disclosures, at RX0004). There are only two contracts in the record, one worth \$107,100, and the other worth \$80,580. (FOF, ¶¶ 9, 17). Even the combined value of these two contracts is significantly less than either the alleged contract value of \$3,595,200 or the alleged profit margin of \$650,000.

FURTHER ORDERED that judgment is **DENIED** as to Complainants' claim that Respondent violated 46 U.S.C. § 41104(a)(2). It is

FURTHER ORDERED that Respondent's MTC is **DENIED** as moot. It is

FURTHER ORDERED that this proceeding is **DISCONTINUED**.

Richard C. Ambrow Jr -
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Richard Ambrow
Administrative Law Judge